GMS WEEKLY

Your Source for Recycling News

May 19th, 2023
Volume 249, Issue 1083
Week 20

Highlights:

- **Tonnage lull.**
- **Decline spooks.**
- **HKC sales.**
- **Bangla upgrades.**
- **Ratifying HKC?**
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QUOTE of the WEEK

"It is never too late to be what you might have been."

– George Elliott

MARKET COMMENTARY

UPWARD TRAJECTORY!

Markets have been on an upward trajectory over the last couple of weeks as tonnage continues to remain at bare minimums, especially over the traditionally quieter summer / monsoon months and charter rates remain at acceptable enough levels for Owners to keep their various vintage vessels in the trading lanes.

Some of the recent market declines of about USD 50 – USD 60/LDT and struggles on L/Cs in the Bangladeshi and Pakistani markets (in particular) may have spooked Sellers and Cash Buyers alike, and for those that were willing to sell above USD 600/LDT, they may now be unwilling to enter the market as they are being greeted by new lower realities in the USD 500s/LDT.

Sales have therefore been at a premium in recent times, although several older bulkers were committed and one 1977 built LNG carrier was confirmed this week basis an 'as is' Labuan delivery for an HKC resale only.

Increasingly, most high-profile Sellers are looking to sell for HKC recycling only, and the bulk of the major container owners such as Maersk, MSC, Wan Hai, and Evergreen have committed vessels this year for strict HKC recycling into India.

It is certainly encouraging that certain yards in Bangladesh – three now in total – have managed to obtain class NK HKC certification and have made major upgrades to their facilities in order to encourage other yards to improve likewise.

Discussions will be taking place this coming week in Bangladesh, in order to ratify the Hong Kong convention and we will certainly be keeping a close watch on events to see what finally transpires, and the impact it will have on the industry moving forward.

Finally, while Pakistan remains in the dumps with no new fixtures or fresh arrivals at the waterfront, the Turkish market, though weaker, is distracted with the ongoing Presidential elections in the country.

For week 20 of 2023, GMS demo rankings / pricing for the week are as below.

Rank	Location	Sentiment	Dry Bulk USD / LDT	Tankers USD / LDT	Containers USD / LDT
1	Bangladesh*	Stable	580 / LDT	610 / LD	630 / LDT
2	India	Stable	520 / LDT	540 / LDT	560 / LDT
3	Pakistan*	Weak	500 / LDT	520 / LDT	540 / LDT
4	Turkey	Weak	320 / LDT	330 / LDT	340 / LDT

**Subject L/C approval*

BANGLADESH

BUDGET DUE!

Some recovery.

Bangladesh has enjoyed something of a resurgence over the last couple of weeks, as prices picked up a touch amidst the crushing slowdown in the supply of tonnage and steel plate prices that recovered some of the lost ground from previous months.

As a result, on the back of firming demand, two older Chinese Bulker sales reportedly managed to register this week as the TIAN HE SHUN (7,450 LDT) and the XIANG JIANG 6 (7,290 LDT) were both concluded at a modest USD 560/LT LDT, as choice tonnage heads to India (including containers, offshore units, and even LNGs in recent weeks) for strictly HKC green recycling.

HKC discussions.

The Bangladeshi budget date has been set for June 1st and few changes are expected to impact the domestic ship recycling sector However, it is always worth keeping an eye out for any surprises, and several End Buyers are preferring to wait until after the budget passes, before offering on the marginal number of units currently on offer.

Fundamentals too remain shaky as the Taka stays in a weakened state at BDT 107.2X against the U.S. Dollar, while local steel plate prices had a minor correction of about USD 10/Ton this week.

High level meetings are also scheduled to take place at the end of this week in Bangladesh, in order to ratify the Hong Kong convention, and we will update further on the progress / decisions made next week.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
TIAN HE SHUN	Bulker	7,450	USD 560/LT LDT
XIANG JIANG 6	Bulker	7,290	USD 560/LT LDT

INDIA

BACK IN THE PICTURE?!

Steel plate prices have lost a lot of ground over the course of the last few weeks and despite levels even climbing by about USD 10/Ton, reversed by the same amount by the time the week ended.

Notwithstanding, local sentiments and eagerness to buy has put India back in the picture on any working tonnage – especially competing with Bangladesh and securing most of the HKC green units in the market.

Greater demand.

One such high profile unit (following a recent FPSO sale and ongoing negotiations for another), saw the larger LDT 1977 built GANDRIA (29,500 LDT) concluded for an impressive USD 15,500,000 lumpsum, basis an 'as is' Labuan delivery, for HKC green recycling only. The higher content of Nickel and nonferrous along with the HKC requirements mean that these units will usually end up in Alang over Chattogram.

Meanwhile, fundamentals seem to have been on edge this week as the currency has been weakening and is currently trading in the Rs. 82.8Xs against the U.S. Dollar - some of the highest levels seen against the U.S. Dollar, as India looks to cool soaring inflation that is currently being witnessed across much of the world as well.

MARKET SALES REPORTED

VESSEL NAME	TYPE	LDT	REPORTED PRICE
GANDRIA	LNG	29,500	USD 15.5 million ('as is' Labuan for HKC recycling only)

PAKISTAN

TURMOIL!

Arrest scandal.

Turmoil continues to plague Pakistan, with the recent arrest of former PM Imran Khan capturing much of the headlines, along with turbulent and worrying currency devaluations that often sees this economy teetering on the brink of collapse.

As such, Gadani is not a viable market for ship recycling at present and Buyers are simply avoiding all negotiations / purchases, especially with so much uncertainty across the country.

No more triumvirate.

On the fundamentals front, not only have local steel plate prices flatlined through the course of the week again, the Pakistani Rupee, though marginally stronger than last week, is still at a precipitous PKR 285.6X against the U.S. Dollar.

Therefore, the usual sub-continent triumvirate is now down to two markets, and it may be some time before Pakistan comes back into viable buying again, given the present state of their economy.

NO MARKET SALES REPORTED

TURKEY

POLITICS!

Presidential Elections.

Turkey is going through a politically active time as well, whereby the Presidential campaign is in a dead-heat between President Erdogan and his challenger. With the elections now heading into a run-off (to be decided by the end of next week), the overall sentiments are still weak / cautious.

As the Lira sinks further towards a record breaking TRY 20 against the U.S. Dollar, both import and local steel plate prices did register a degree of stability this week as neither reported any noteworthy change.

Prices steady!

Overall, as the sub-continent markets (India and Bangladesh in particular) remain nearly double that of Turkey, the shortage of available units is also keeping Turkish prices steady, though for how much longer, is certainly on anyone's mind.

NO MARKET SALES REPORTED

INTERESTING FACTS

- *If Jupiter's magnetic field were visible, it would appear bigger than the Moon. The region of space in which a mass's magnetic field dominates is known as its magnetosphere. These regions surround planets, pulsars and even our Galaxy. The planets in our Solar System have magnetospheres that interact with and are shaped by the charged particles in the wind streaming from our Sun. The largest magnetosphere in our Solar System surrounds Jupiter. Jupiter rotates very fast and has a very strong magnetic field, and its magnetosphere is filled with plasma from its volcanically active moon, Io. These features, coupled with the fact that the solar wind is slower and less dense at Jupiter than at Earth, lead to a very sizeable Jovian magnetosphere. It is easily big enough to contain a body the size of our Sun and, if visible, would be larger than the Moon in our night sky; quite an achievement considering that it is over 1,500 times farther away.*
- *Planets can wander through space without a parent star. Not all planets form and stay around stars: astronomers estimate that there could be more than 200 billion of them floating free and drifting through our Galaxy. These 'rogue' planets were thought to have been kicked out of their home systems. While this is true for some, other planets may have formed completely independently of an accretion disk (as was the case for our Solar System) instead forming from the collapse of tiny, cold clouds known as globulettes.*

IMPORTANT DATES

INDIA	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	May 16 – May 24 June 02 – June 10 June 14 – June 22

BANGLADESH	
BANK HOLIDAYS	**BEACHING TIDES**
June 28 – June 30 – Eid Ul Azha	May 18 – May 21 June 04 – June 07 June 17 – June 22

IMPORTANT BANK HOLIDAYS		
CHINA	**PAKISTAN**	**TURKEY**
June 22 – June 24 – Dragon Boat Festival	June 29 – July 01 – Eid Ul Azha	May 19 – Youth and Sports Day June 27 – July 01 – Kurban Bayrami

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ALANG - Port Position as of May 19, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Maritime Lira	11,236	Oil Tanker	Arrived May 16
2	MSC Pilar	23,740	Container	Arrived May 18
3	Sudarshan	1,762	Supply Vessel	Arrived May 09
Total Tonnage		**36,738**		

CHATTOGRAM - Port Position as of May 19, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
1	Atlantic Ray	2,462	General Cargo	Arrived May 19
2	*Hai Chang*	*7,585*	*Bulk Carrier*	*Beached May 18*
3	Shang Hang 68	6,719	General Cargo	Arrived May 19
4	*Thor*	*1,103*	*General Cargo*	*Beached May 17*
5	Vasi Star	7,771	Container	Arrived May 17
6	*West Ocean 9*	*1,671*	*General Cargo*	*Beached May 17*
7	Western Endeavour	1,489	Bulk Carrier	Arrived May 18
8	*Xin Zhou Shan*	*3,455*	*Container*	*Beached May 19*
Total Tonnage		**32,255**		

GADANI - Port Position as of May 19, 2023

No.	VESSEL NAME	LDT	TYPE	STATUS
		No new vessels reported.		
Total Tonnage		**-**		

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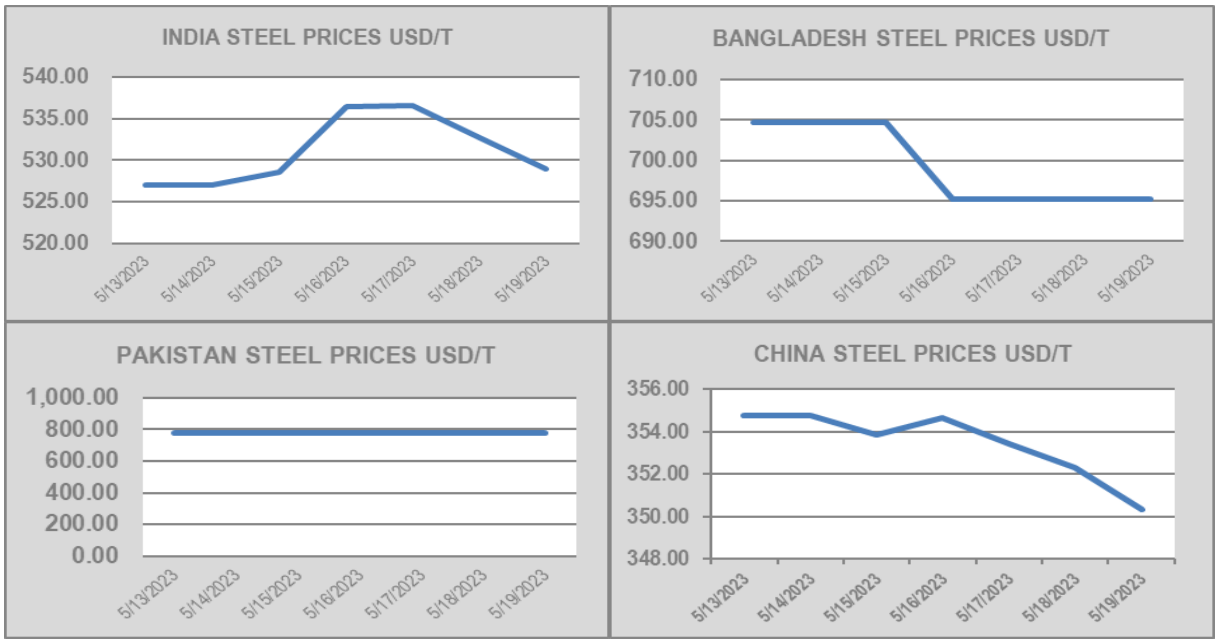
Steel Plate Prices

DATE	INDIA STEEL PRICES USD/T	INDIA STEEL PRICES	PAKISTAN STEEL PRICES USD/T	PAKISTAN STEEL PRICES	BANGLADESH STEEL PRICES USD/T	BANGLADESH STEEL PRICES	CHINA STEEL PRICES USD/T
5/13/2023	527.02	43,300.00	777.39	220,000.00	704.76	74,000.00	354.77
5/14/2023	527.02	43,300.00	777.39	220,000.00	704.76	74,000.00	354.77
5/15/2023	528.55	43,500.00	777.39	220,000.00	704.76	74,000.00	353.89
5/16/2023	536.50	44,100.00	777.39	220,000.00	695.24	73,000.00	354.65
5/17/2023	536.54	44,200.00	777.39	220,000.00	695.24	73,000.00	353.42
5/18/2023	532.69	44,000.00	777.39	220,000.00	695.24	73,000.00	352.31
5/19/2023	528.99	43,800.00	777.39	220,000.00	695.24	73,000.00	350.36



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